

# NebulaStream Systems

## Income Statement

For the Year Ended December 31, 2025

| Item                              |             | Amount        |
|-----------------------------------|-------------|---------------|
| Total Revenue                     |             | \$12,450,000  |
| Cost of Services Provided         |             | (\$3,112,500) |
| Gross Margin                      |             | \$9,337,500   |
|                                   |             |               |
| Operating Expenses:               |             |               |
| Research & Development (R&D)      | \$4,200,000 |               |
| Sales and Marketing               | \$2,100,000 |               |
| General and Administrative        | \$850,000   |               |
| Amortization of Intangible Assets | \$120,000   |               |
| Total Operating Expenses          |             | (\$7,270,000) |
|                                   |             |               |
| Operating Income                  |             | \$2,067,500   |
|                                   |             |               |
| Other Items:                      |             |               |
| Foreign Exchange                  | (\$15,000)  |               |

|                          |            |                    |
|--------------------------|------------|--------------------|
| Gain/(Loss)              |            |                    |
| Interest Expense         | (\$42,500) |                    |
| <b>Pretax Income</b>     |            | <b>\$2,010,000</b> |
| Income Tax Expense (21%) |            | (\$422,100)        |
|                          |            |                    |
| <b>Net Income</b>        |            | <b>\$1,587,900</b> |

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# NebulaStream Systems

## Statement of Retained Earnings

For the Year Ended December 31, 2025

| Retained Earnings                 | Amount             |
|-----------------------------------|--------------------|
| <b>Balance, January 1, 2025</b>   | <b>\$4,120,000</b> |
| Add: Net Income                   | \$1,587,900        |
| Less: Cash Dividends Declared     | (\$250,000)        |
| Less: Stock Buyback Adjustment    | (\$115,000)        |
| <b>Balance, December 31, 2025</b> | <b>\$5,342,900</b> |

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# NebulaStream Systems

## Balance Sheet

December 31, 2025

## Assets

- **Current Assets:**
    - Cash and Equivalents: \$3,450,000
    - Accounts Receivable: \$1,280,000
    - *Less: Allowance for Doubtful Accounts:* (\$64,000)
    - Prepaid Cloud Credits: \$150,000
    - **Total Current Assets: \$4,816,000**
  - **Non-Current Assets:**
    - Property and Equipment: \$8,500,000
    - *Less: Accumulated Depreciation:* (\$2,100,000)
    - Capitalized Software Development: \$940,000
    - **Total Assets: \$12,156,000**
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## Liabilities and Stockholders' Equity

- **Current Liabilities:**
  - Accounts Payable: \$412,000
  - Deferred Revenue (Unearned Subscriptions): \$890,000
  - Accrued R&D Incentives: \$55,000
  - **Total Current Liabilities: \$1,357,000**
- **Long-Term Liabilities:**
  - Convertible Notes Payable: \$3,500,000
  - Deferred Tax Liability: \$110,000
- **Stockholders' Equity:**
  - Common Stock (\$0.01 par value): \$1,846,100
  - Retained Earnings: \$5,342,900
  - **Total Equity: \$7,189,000**
- **Total Liabilities and Equity: \$12,156,000**